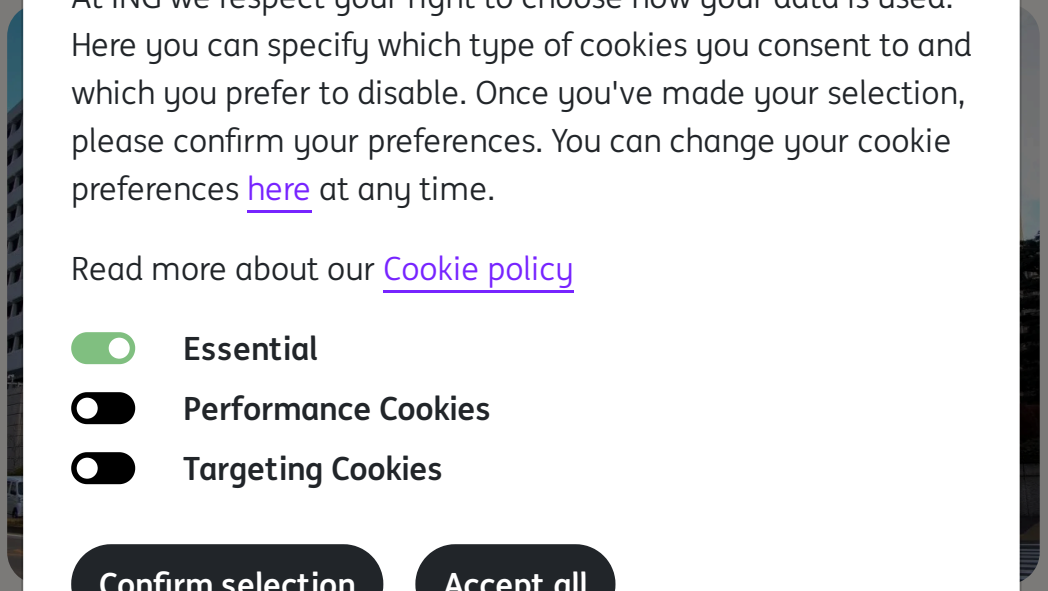
In a big day for monetary policy in Japan, the Bank of Japan finally announced it had hit its 2% price target – a target set in 2013. The question now for markets is how quickly the BoJ takes the policy rate to neutral. We now think it will hike in December and March. A hawkish BoJ can help keep a lid on USD/JPY at 160



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CPI is consistent with price stability target

In its October outlook report released today, the Bank of Japan finally got to say that "underlying CPI inflation is at a level that is generally consistent with the price stability target of 2%, and is expected to remain at around that level." That was a target set in 2013 and one the BoJ has battled to hit after decades of deflation.

In terms of what that means for monetary policy from here, the clear message is to expect further tightening. The debate now

shifts to how quickly the BoJ takes rates to neutral, seen in the 1.75-2.00% area.

For today, the policy rate was left at 1.25%, as back-to-back hikes could have upset markets. But running through the new Outlook Report were three themes that the BoJ felt could all contribute to upside price risks: energy prices, AI demand and the weak yen. In that report, growth forecasts were left around 0.7-0.8% (near or above potential), while CPI forecasts were revised slightly higher.

There remained several references to labour shortages and a confidence that strong corporate profits would be feeding into w
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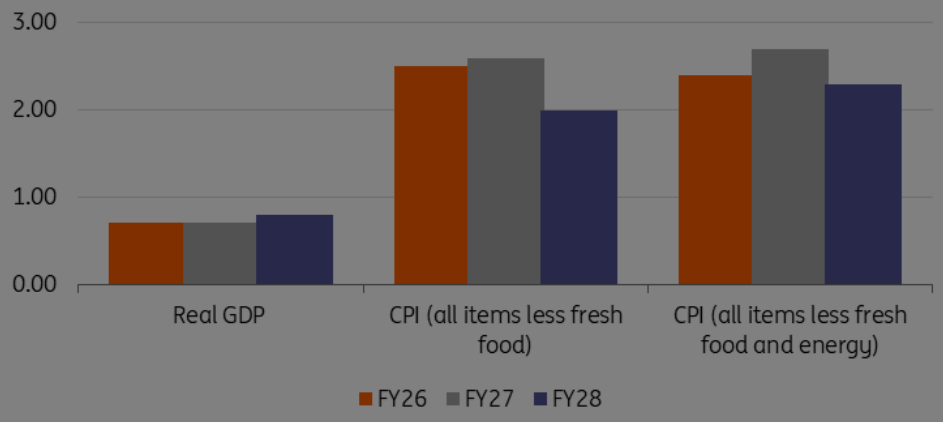
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BoJ's latest growth and inflation forecasts



Source: Bank of Japan

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where AI demand fires up broader domestic demand growth in Japan, confidence grows in the domestic economy, and more portfolio and trade flows are brought home. One to watch in 2027.

FX

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